

Marketing and Customer Value

Learning Method

Step1: Pre-class (2.5h)

Step2: Lecture+Tutorial (90 min)

Step3: Between learning + Tutorial (2.5h)

Step4: Lecture+Tutorial (90 min)

Pre-class	Tutorial A	Between Tutorials	Tutorial B	Post class	Total
*2 hrs 30 min Students engage with subject key concepts and prepare for live tutorial	90 min (Live) Students learn through discussions, hands-on activities, or interactive sessions with teacher and peers	*2 hrs 30 min Interactions with teacher and peers to revise the pre work and tutorial activities	60 min (Live) Students interact with teacher and peers to reinforce key concepts, and identify gaps or misconceptions	*2 hrs 30 min Consolidate learning from the week through guided activities and interaction with teacher and peers	10 hours
					10 hours
+2 hours Assessment time (working independently or collaboratively)					2 hours
Weekly Total					12 hours

Assessments

- **Quizzes (25%), Due Weeks 2,4,6,8,10**

- **Group assignments (25%):**

Integrated marketing communication strategy:
abstract (10%)

Integrated marketing communication strategy:
presentation (15%)

- **Individual assignments (50%)**

Marketing communication strategy: Digital
advertisement (20%)

Marketing communication strategy: Rational
report (30%)

Contents and core concepts

- The role of marketing within the organization and society, and the marketing environment
- Strategic Marketing and Planning
- Consumer Behaviour and the 4C's of marketing
- Data and Analytics, Market research, Targeting, Segmenting and positioning
- Product and Branding
- Pricing
- Promotions, Digital Marketing
- Place (Distribution)
- Ethics and Regulations, Social and Non-For-Profit Marketi

Topic 1

The Role of Marketing, Value, and the Marketing Environment

Topic 1: The Role of Marketing, Value, and the Marketing Environment

Topic Outline

- What Is Marketing and Marketing process?
- Understanding the Marketplace and Customer Needs
- Value and Customer value proposition
- Designing a Customer-Driven Marketing Strategy
- Preparing an Integrated Marketing Plan and Program (Marketing mix)
- Marketing Environment

What Is Marketing?

Marketing is a process by which companies create value for customers and build strong customer relationships to capture value from customers in return.

Marketing Process

The marketing process combines core marketing principles and activities with a philosophy that places people at the heart of strategy and operations.



Understanding the Marketplace and Customer Needs

Customer Needs, Wants, and Demands

Needs

- States of deprivation
- Physical—food, clothing, warmth, safety
- Social—belonging and affection
- Individual—knowledge and self-expression

Wants

- Form that needs take as they are shaped by culture and individual personality

Demands

- Wants backed by buying power

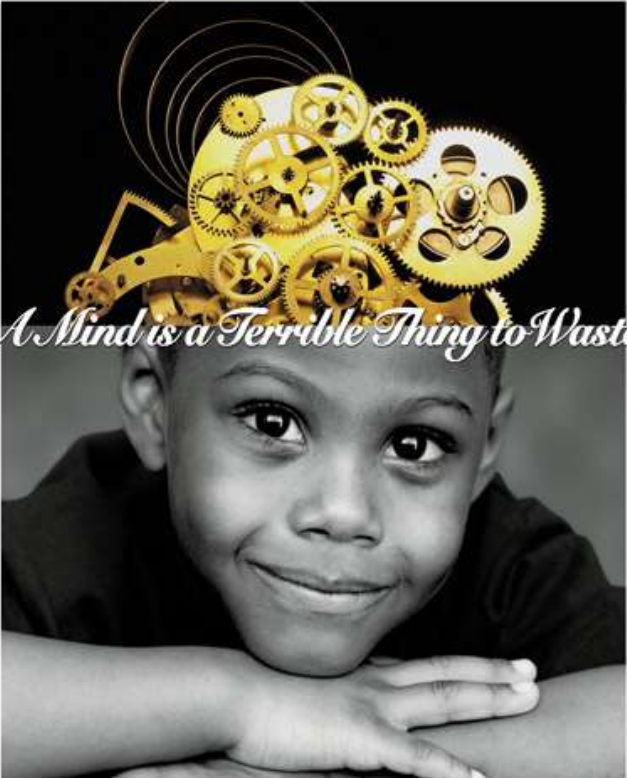
Needs, Wants and Demands

- Marketing is about Satisfying Customer Needs and Wants



Understanding the Marketplace and Customer Needs

- **Market offerings** are some combination of products, services, information, or experiences offered to a market to satisfy a need or want



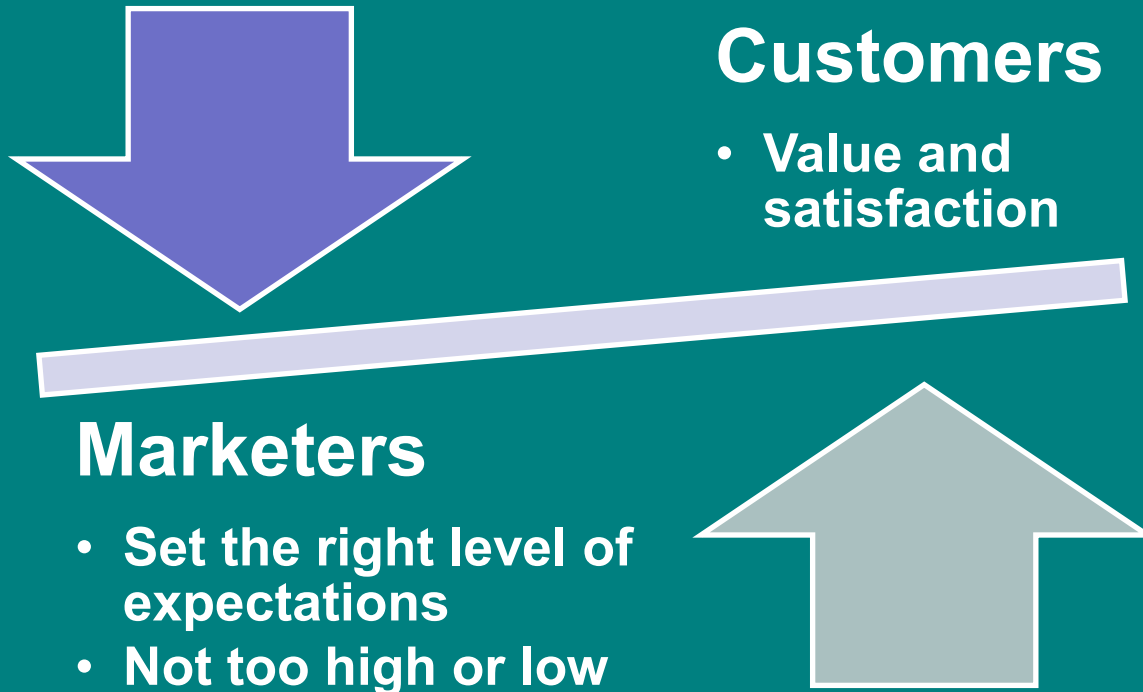
A Mind is a Terrible Thing to Waste

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Understanding the Marketplace and Customer Needs

Customer Value and Satisfaction Expectations

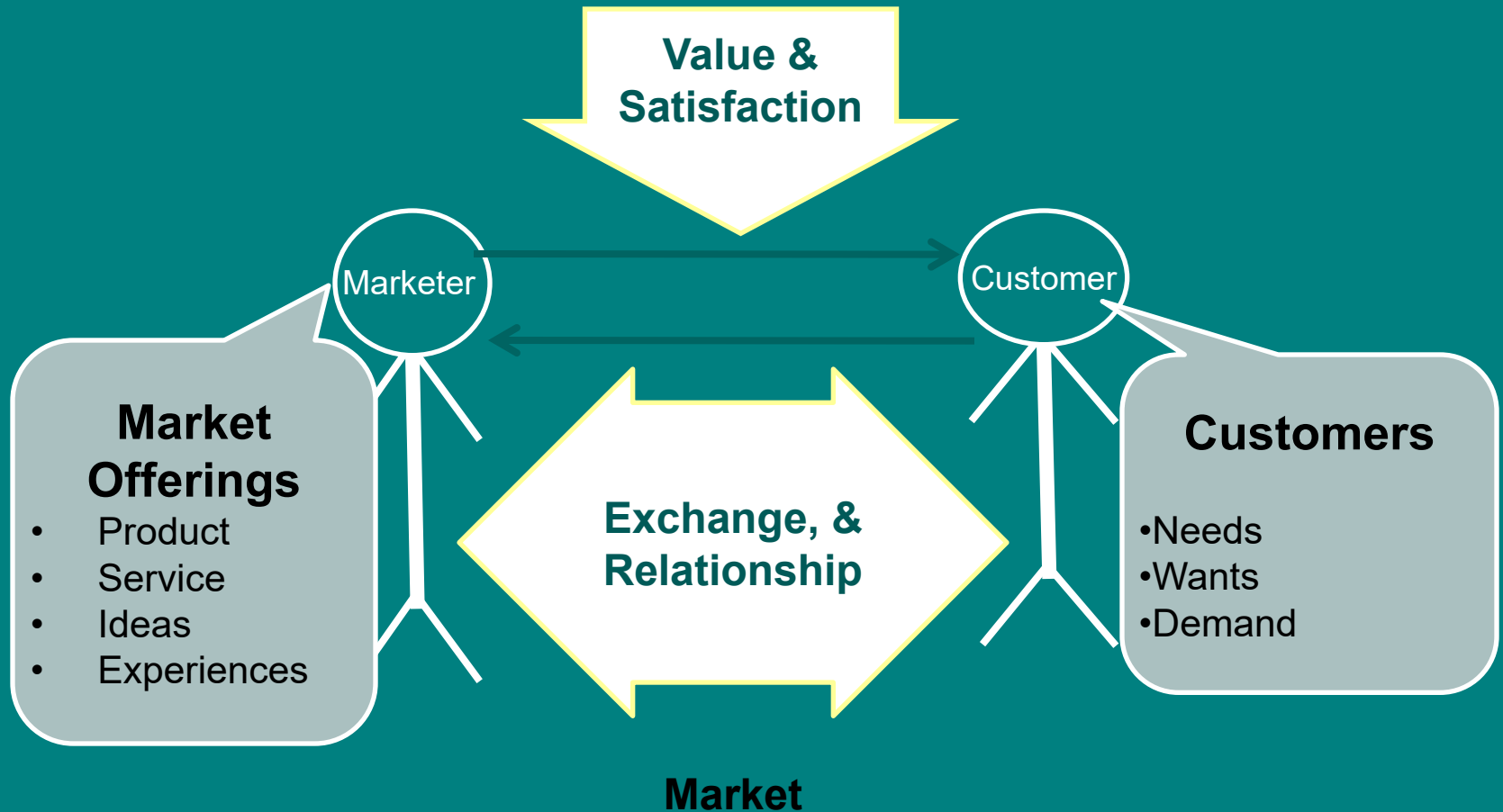


Understanding the Marketplace and Customer Needs

Exchange is the act of obtaining a desired object from someone by offering something in return

Marketing actions try to create, maintain, grow exchange relationships.

Core Marketing Concept

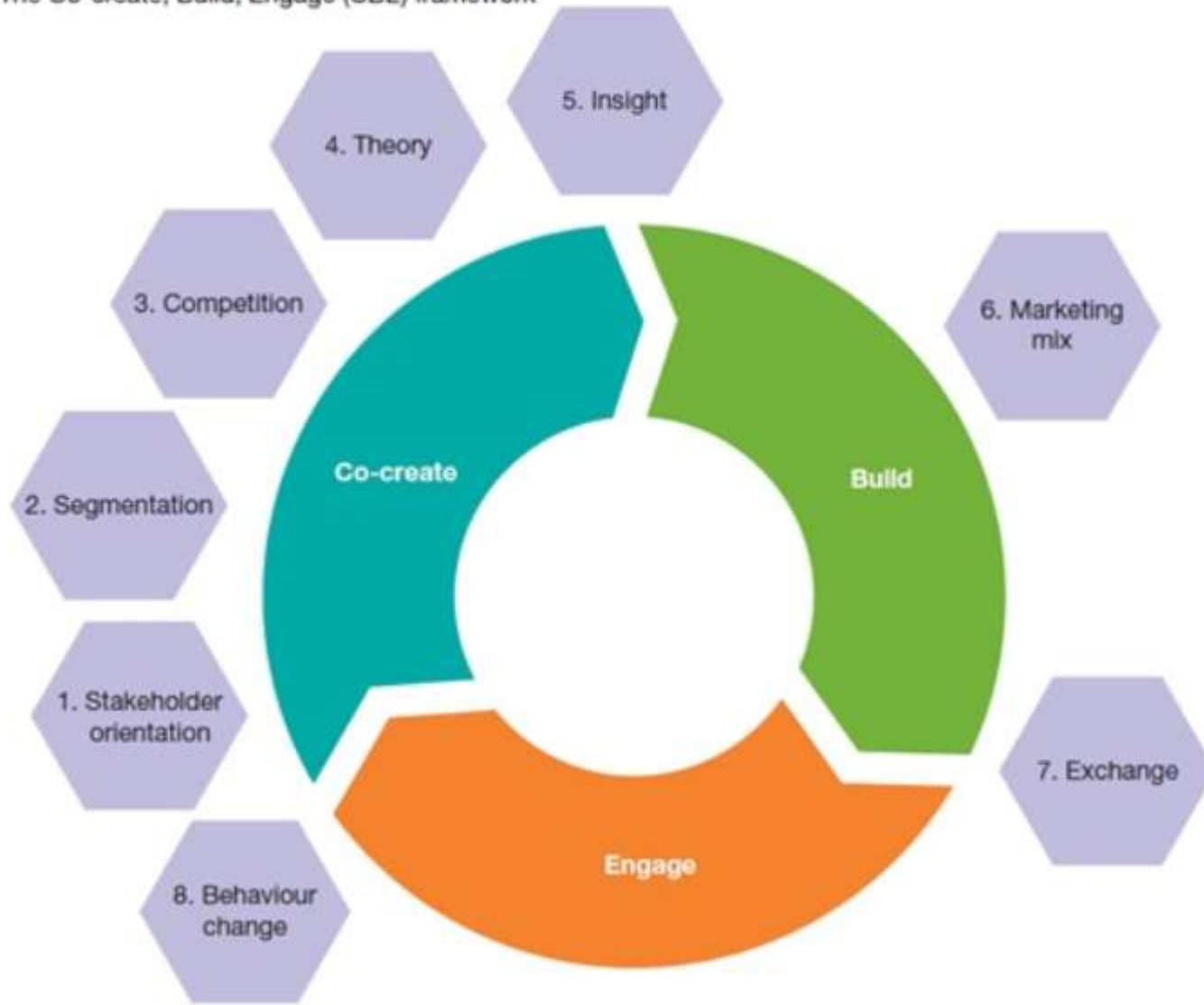


The marketing process is an ongoing cycle and often marketers will be undertaking multiple tasks simultaneously.



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- The SO

The Co-create, Build, Engage (CBE) framework



Source: Social Marketing © Griffith.

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What is value?

- Value is a core marketing concept. Value is a customer's overall assessment of the utility of an offering based on perceptions of what is received and what is given.
- marketers view value as unique and determined by the beneficiary. according to this view, value is idiosyncratic, experiential, contextual and meaning laden.

Customer Value Proposition

A Customer Value Proposition (CVP) is a promise of potential value that an organisation delivers to its customers and stimulates customer engagement.

Functional value

Emotional value

Economic value

Symbolic value

End value

Customer insights

Designing a Customer-Driven Marketing Strategy

Marketing management is the art and science of choosing target markets and building profitable relationships with them

- What customers will we serve?
- How can we best serve these customers?

Marketing Strategy and the Marketing Mix

Market segmentation is the division of a market into distinct groups of buyers who have different needs, characteristics, or behavior and who might require separate products or marketing mixes

Market segment is a group of consumers who respond in a similar way to a given set of marketing efforts

Marketing Strategy and the Marketing Mix

Customer-Centered Marketing Strategy

Market targeting is the process of evaluating each market segment's attractiveness and selecting one or more segments to enter

Market niches specialize in serving customers segments that major competitors overlook or ignore.

e.g. marketing 2.2 health insurance for our furry

Marketing Strategy and the Marketing Mix

Market positioning is the arranging for a product to occupy a clear, distinctive, and desirable place relative to competing products in the minds of the target consumer

Marketing Strategy and the Marketing Mix

- **Differentiation** begins the positioning process
- Whole marketing plan supports the positioning strategy

Designing a Customer-Driven Marketing Strategy

Choosing a Value Proposition

A brand's Value Proposition is the set of benefits or values a company promises to deliver to customers to satisfy their needs

Preparing an Integrated Marketing Plan and Program

The marketing mix: set of tools (four Ps) the firm uses to implement its marketing strategy. It includes product, price, promotion, and place.

Integrated marketing program:

comprehensive plan that communicates and delivers the intended value to chosen customers.

Marketing Strategy and the Marketing Mix

Developing an Integrated Marketing Mix



Marketing Strategy and the Marketing Mix

Developing an Integrated Marketing Mix

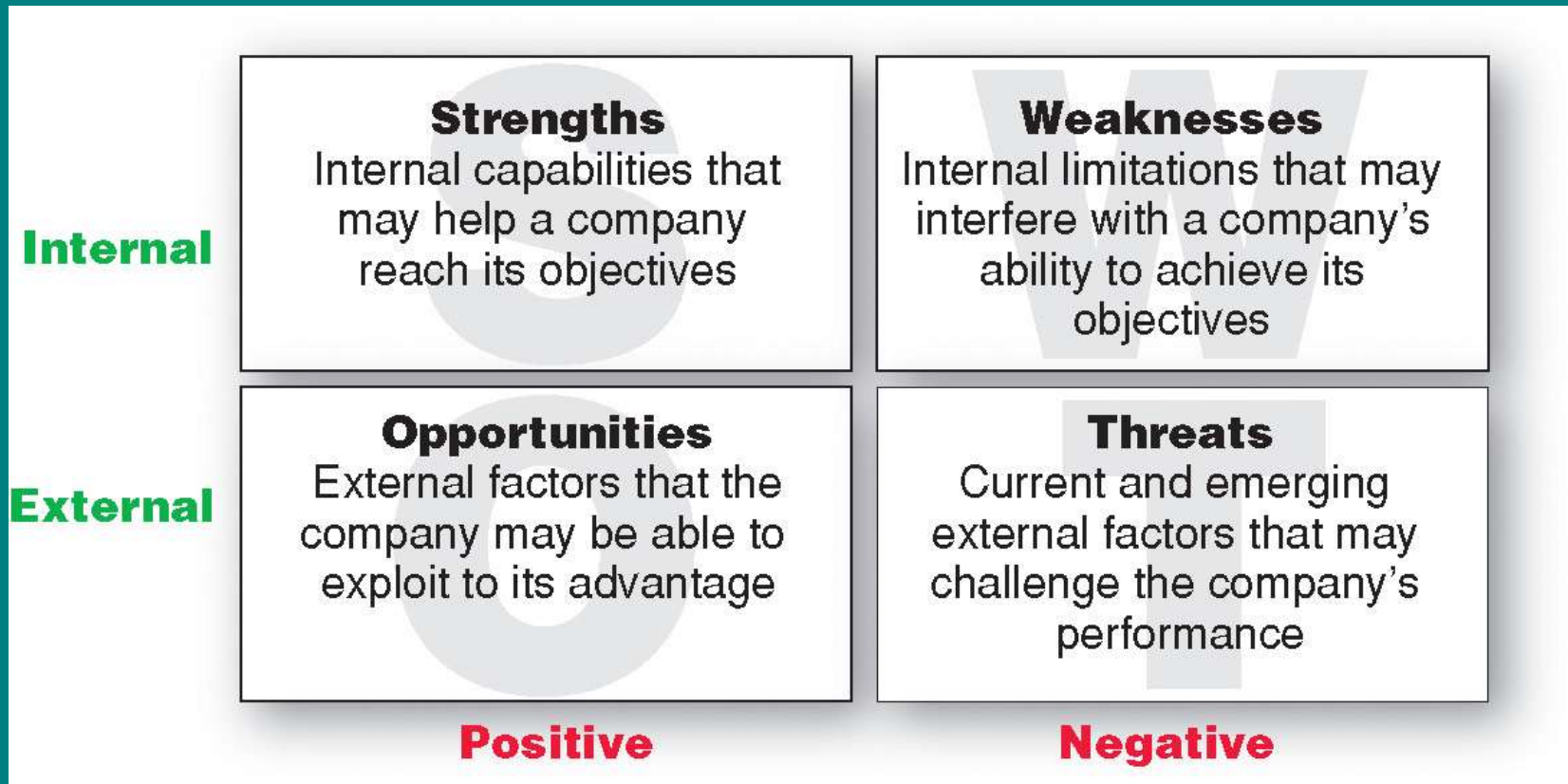
- Some critics feel that the 4 Ps may omit or underemphasize certain important activities.
- From the buyer's viewpoint, in this age of customer relationships, the 4 Ps might be better described as the 4 Cs: customer solution, customer cost, convenience, and communication.

4P's	4C's
Product	Customer solution
Price	Customer cost
Place	Convenience
Promotion	Communication

Various frameworks for the marketing mix have evolved over time, including:

- the 4 Ps framework, which is product, price, promotion and place (place is more easily understood as distribution) — the 4 Ps framework was the first approach to the marketing mix
- the 5 Ps framework, which evolved from the 4 Ps model by adding a fifth P, 'people', to the 4 Ps framework
- the 6 Ps framework, which added 'process' to the 5 Ps framework
- the 7 Ps framework, which added 'physical evidence' to the 6 Ps framework. To frame their thinking, marketers often choose to target certain types of customers.

Managing the Marketing Effort



Managing the Marketing Effort

Marketing Analysis

- **Strengths** include internal capabilities, resources, and positive situational factors that may help to serve company customers and achieve company objectives
- **Weaknesses** include internal limitations and negative situational factors that may interfere with company performance
- **Opportunities** are favorable factors or trends in the external environment that the company may be able to exploit to its advantage
- **Threats** are unfavorable factors or trends that may present challenges to performance

Analyzing the Marketing Environment

- Microenvironment
- Macroenvironment
 - Demographic Environment
 - Economic Environment
 - Natural Environment
 - Technological Environment
 - Political and Social Environment
 - Cultural Environment
 - Responding to the Marketing Environment

The Marketing Environment

The marketing environment includes the actors and forces outside marketing that affect marketing management's ability to build and maintain successful relationships with customers

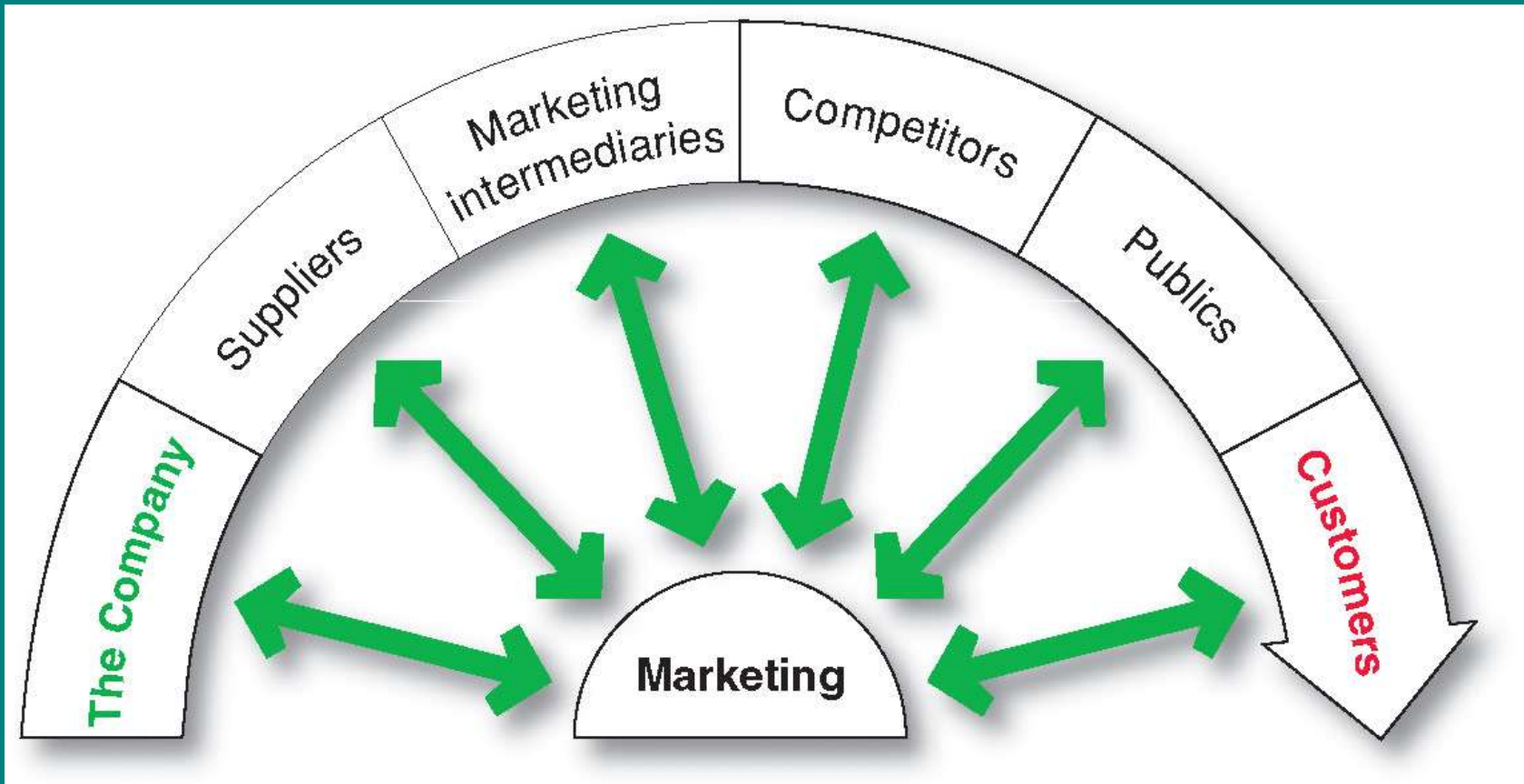
The Marketing Environment

Microenvironment consists of the actors close to the company that affect its ability to serve its customers, the company, suppliers, marketing intermediaries, customer markets, competitors, and publics

Macroenvironment consists of the larger societal forces that affect the microenvironment—demographic, economic, natural, technological, political and cultural forces

The Company's Microenvironment

Actors in the Microenvironment



The Company's Microenvironment

The Company

- Top management
- Finance
- R&D
- Purchasing
- Operations
- Accounting



digital growth:
74%

Take a smart printer: Transcontinental Inc. Add relevant data to a catalog run using Xerox digital technology and their client, Reader's Digest Canada, has 74% more sales.
There's a new way to look at it.

Transcontinental Inc. thought a digital print solution could achieve a response breakthrough for Reader's Digest, one of the world's most successful direct marketers. A call to the digital experts from the Xerox 1:1 Lab more than proved them right. Using a Reader's Digest database and Xerox digital printing technology, personalized direct mail was created to test against a traditional direct mail campaign. The result? The 1-to-1 messaging outperformed the traditional by 74%. The more personalized messages simply had more pull. Could you benefit from our digital advantage? Just ask the pros at Reader's Digest and Transcontinental.

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The Company's Microenvironment

Types of Marketing Intermediaries

Resellers

Physical
distribution
firms

Marketing
services
agencies

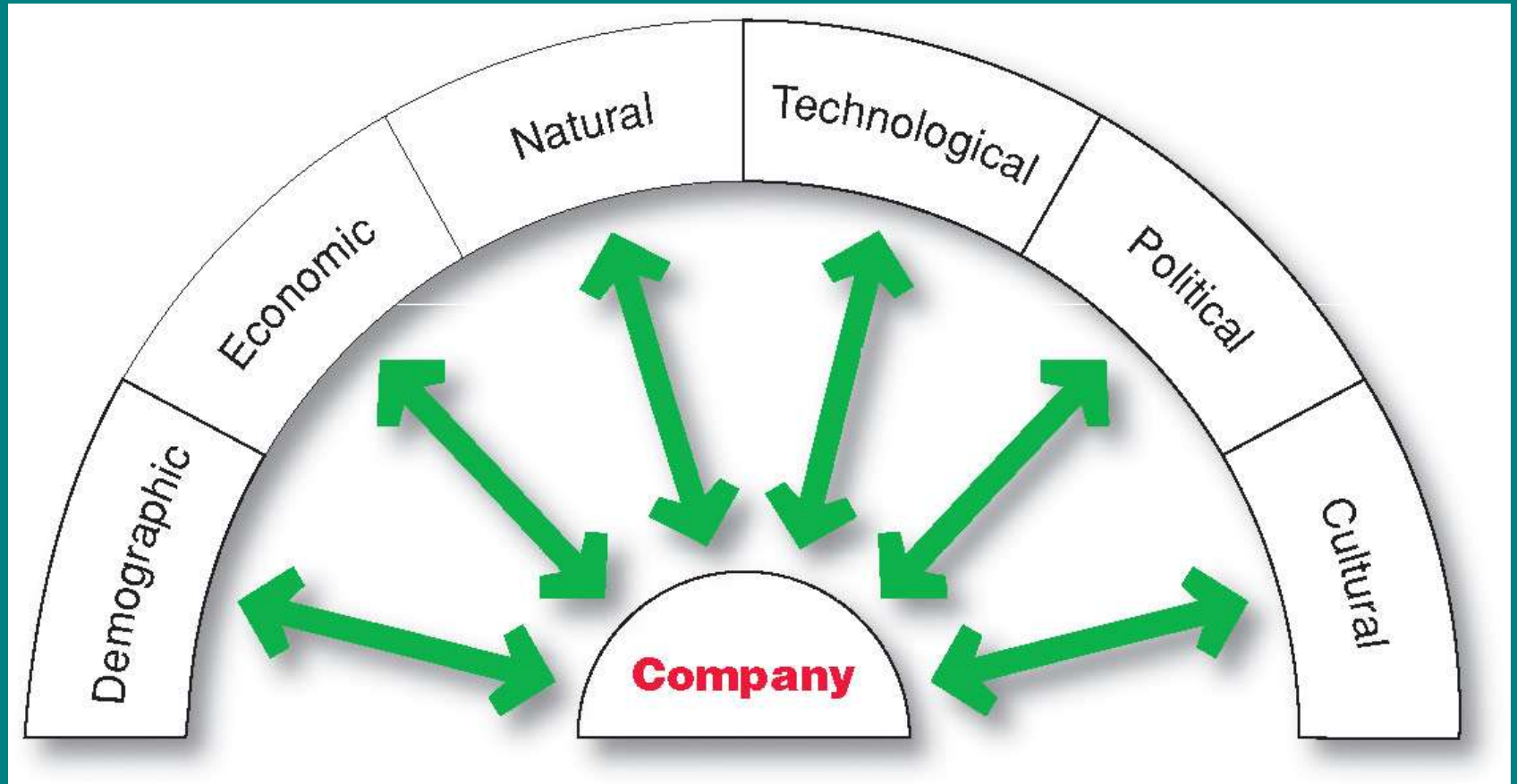
Financial
intermediaries

The Company's Microenvironment

Customers

- Consumer markets
- Business markets
- Reseller markets
- Government markets
- International markets

The Company's Macroenvironment



Capturing Value from Customers

Creating Customer Loyalty and Retention

- **Customer lifetime value** is the value of the entire stream of purchases that the customer would make over a lifetime of patronage



Capturing Value from Customers

Growing Share of Customer

Share of customer is the portion of the customer's purchasing that a company gets in its product categories

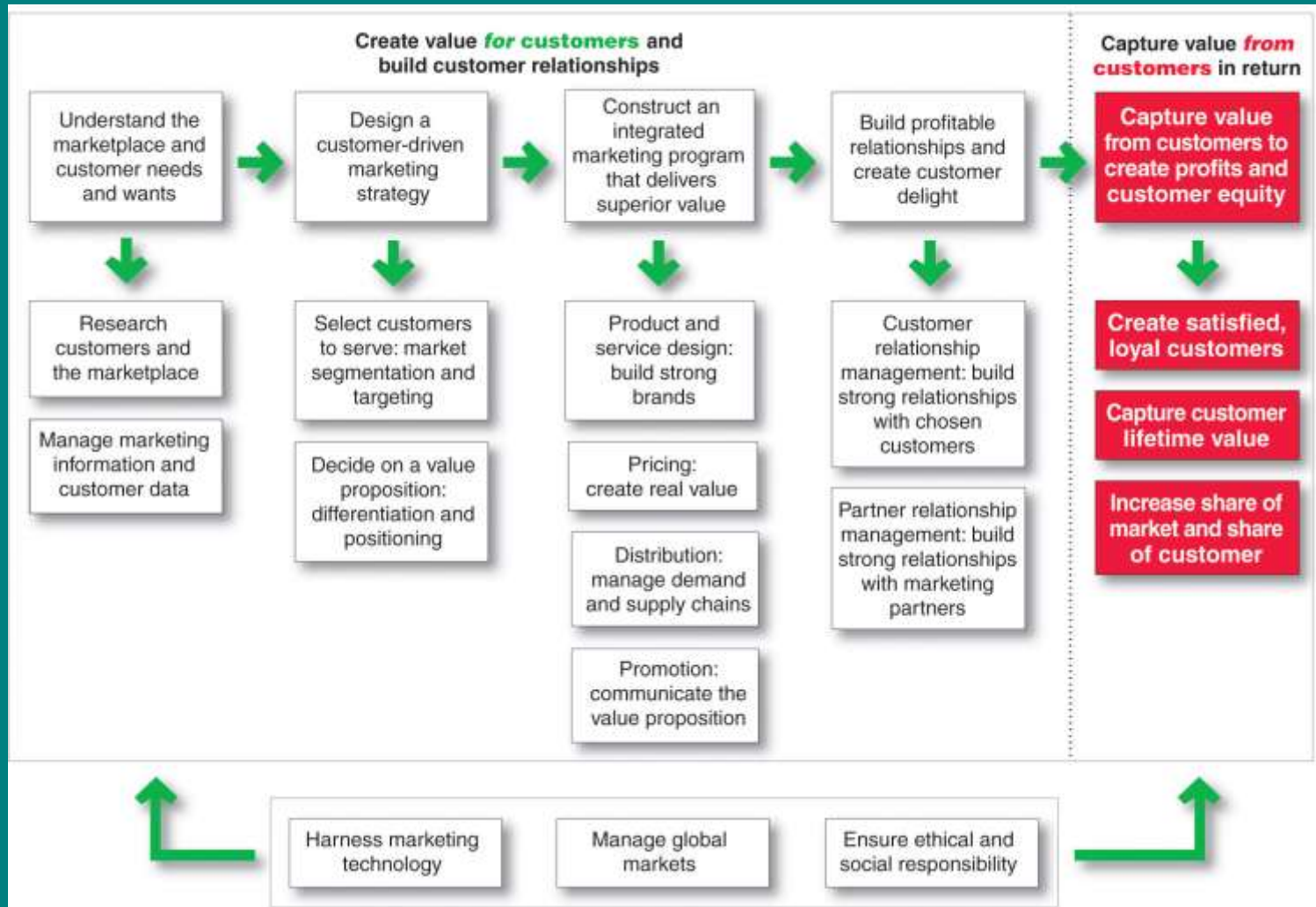
Capturing Value from Customers

Customer equity is
the total combined
customer lifetime
values of all of the
company's
customers



So, What Is Marketing?

Pulling It All Together



Tutorial

- **SWOT Analysis Application**
- **PESTEL application**
- Value application